

MANAGEMENT REVIEW

Management without theatre.

STRATEGY

WHO DECIDES WHAT

Why decisions get stuck between people rather than for lack of information, four kinds of decisions, and five roles that make clear who has the final word.



20%

of respondents said their organisation excels at decision making.
Only 48% said it decides quickly.

MCKINSEY, 2019

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In this issue

Many decisions are not late because data is missing. They are late because nobody knows who decides. This issue is about decision rights: who proposes, who gives input and who has the final word.

In a McKinsey survey of 1,259 respondents, only one in five said their organisation makes decisions excellently. In 2017 McKinsey had sorted decisions into four kinds, each with its own way of deciding. And in 2006 Paul Rogers and Marcia Blenko proposed five roles that make clear who has the final word.

Stiven Janaqi EDITOR · STIVEN CATALYST

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HOW TO READ THIS ISSUE

Figure

Every figure has its source and year at the foot of its page.

Our reading

Where the editors interpret rather than the research, it says so.

Practice

The steps and the card are proposals to try, not research results.

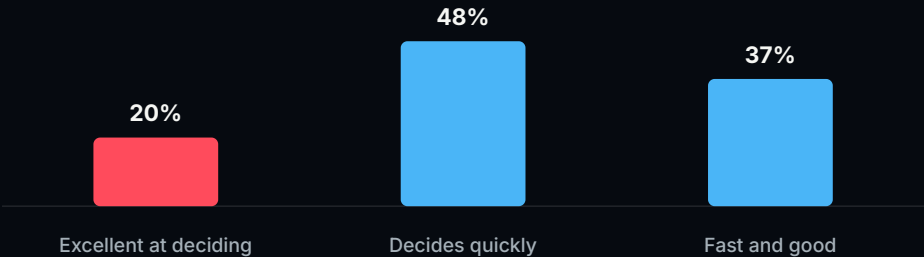
COVER STORY

Speed does not spoil quality

Many organisations behave as if fast decisions were rushed decisions. McKinsey's 2019 survey found the opposite.

Only 48% of respondents said their organisation decides quickly, and 37% that its decisions are both fast and good. But those who decided quickly were twice as likely to report high-quality decisions. Speed and quality moved together, not against each other. These are the respondents' own assessments, collected in February 2018.

WHAT RESPONDENTS SAID ABOUT THEIR ORGANISATION



2×

as often, fast deciders reported high-quality decisions

1,259

respondents, February 2018

OUR READING

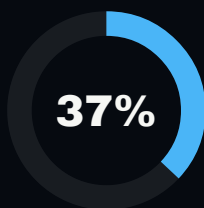
A decision that waits is not necessarily a careful decision. Often it is a decision without an owner.

Source: McKinsey & Company, 2019

THE NUMBERS

The time that goes to waste

Respondents said 37% of their working time goes into decisions. Most said at least half of it is wasted.



of working time goes into decisions, by respondents' own account (McKinsey, 2019).

61%

say at least half of their
decision time is wasted

530,000

manager days a year at a
typical Fortune 500
company, in a McKinsey
calculation

\$250m

in wages for those days

The calculation is a thought experiment, not a measurement: it starts from a company of about 56,000 employees, 20% of them managers, and the median pay of a US manager in 2017.

OUR READING

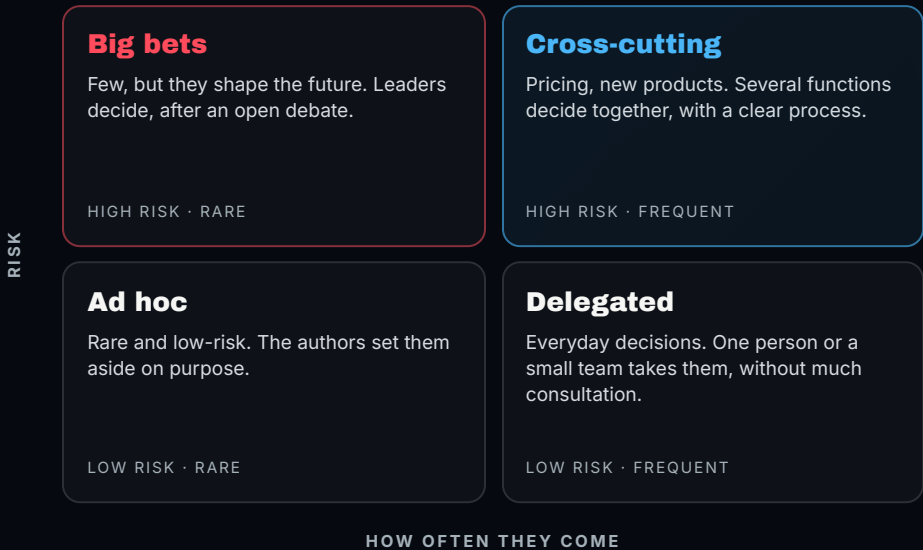
The lost time does not go into the decision itself. It goes into meetings where nobody knows whether they are deciding or advising.

Sources: McKinsey & Company, 2019; McKinsey Quarterly, 2019

THE MODEL

Four kinds of decisions

Aaron De Smet, Gerald Lackey and Leigh Weiss (McKinsey, 2017) sorted decisions by how often they come and how much risk they carry. Each kind needs a different way of deciding.



OUR READING

Many small decisions get stuck because they are treated as big ones: everyone is asked, but nobody decides.

Source: Aaron De Smet, Gerald Lackey & Leigh M. Weiss, McKinsey Quarterly, 2017

The descriptions in the cells are our summary of the 2017 article.

[More in the essay](#)

When to solve it yourself and when to take it higher

THE ROLES

Who has the "D"?

Paul Rogers and Marcia Blenko (Bain, 2006) proposed five roles for every important decision. The name comes from their initials: RAPID.

01	Recommend (R)	Gathers the facts and makes the proposal. Usually one person.
02	Agree (A)	Must sign off and can stop the proposal. Used sparingly.
03	Perform (P)	Puts the decision into practice. Named from the start.
04	Input (I)	Is consulted on facts and risks, but does not decide.
05	Decide (D)	One person has the final word and closes the matter.

HYPOTHETICAL EXAMPLE, OVERTIME IN A WAREHOUSE

The shift lead recommends, with the order numbers. HR agrees on the working-time rules. The team gives input on who is available. The operations manager decides. The shift lead and the team perform.

According to the authors, decisions get stuck most often at four borders: between headquarters and units, between global and local, between functions, and between the company and outside partners. The roles are not played in the order of the letters.

OUR READING

A meeting without a "D" ends with "we will see".

Source: Paul Rogers & Marcia Blenko, Harvard Business Review, 2006

HOW IT IS MEASURED

The decision map

Pick the ten decisions your team takes most often and ask for each: who decides? Then ask the team.

1

List ten decisions

The recurring ones: who works overtime, when an order goes back, who swaps a shift.

2

Write who decides

In your view, for each one.

3

Ask the team separately

Without showing them your answers.

4

Compare

Where the answers differ, the work gets stuck. Start with that decision.

HYPOTHETICAL EXAMPLE, TEN DECISIONS IN A SHIFT

The lead and the team agree on six. On the other four, two people think they decide themselves, and nobody knows who decides on shift swaps. The numbers are invented.

OUR READING

The question "who decides?" looks bureaucratic only until an order waits two days for an answer.

The steps and the example are the editors'.

TOOL OF THE WEEK

The decision card

For every decision that has been stuck for more than a week. Fill it in before the meeting, not after.

01 The decision what, and by when

02 Recommends who prepares the proposal

03 Agrees who must sign off, if anyone

04 Gives input whom we ask, about what

05 Decides one role

06 Performs and informs who carries it out, who needs to know

A practice proposed by the editors, after the RAPID roles. Do not write names or confidential data on the card.

Open the tool: [Shift Handover](#)

stivencatalyst.com/tools/shift-handover/

SOURCES AND METHOD

Every figure has a source.

The figures in this issue come from the sources below. The year shows how recent each one is.

Decision making in the age of urgency

McKinsey & Company, 2019

<https://www.mckinsey.com/capabilities/people-and-organizational-performance/our-insights/decision-making-in-the-age-of-urgency>

Three keys to faster, better decisions

McKinsey Quarterly, 2019

<https://www.mckinsey.com/capabilities/people-and-organizational-performance/our-insights/three-keys-to-faster-better-decisions>

Untangling your organization's decision making

Aaron De Smet, Gerald Lackey & Leigh M. Weiss, McKinsey Quarterly, 2017

<https://www.mckinsey.com/capabilities/people-and-organizational-performance/our-insights/untangling-your-organizations-decision-making>

Who Has the D? How Clear Decision Roles Enhance Organizational Performance

Paul Rogers & Marcia Blenko, Harvard Business Review, 2006

<https://hbr.org/2006/01/who-has-the-d-how-clear-decision-roles-enhance-organizational-performance>

EDITORIAL METHOD

Each figure was checked for its year, its publisher and what exactly it measures. Where the publisher's page could not be opened, the figure was checked against independent summaries and is marked “via”. The editors' interpretation is marked “Our reading”. Figures that could not be confirmed are not in the issue.



MANAGEMENT REVIEW

Management without theatre.

Every week, one management question, checked against the best research.

ALL ISSUES

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